

Conversely, when any nations productively is hampered and it ends up importing more than exporting, the value of its currency is weakened. Its interesting to note that in 1966 the value of a US dollar in Indian rupees was 7.5:1 and is currently (January 2014) around 61:1. This reflects how the balance of trade between the two nations can broadly be considered.

Other ways of changing the value of a currency lie in the hands of the government and the central banks of nations. As mentioned earlier, changing monetary policy to increase or reduce currency supply can also have an effect on the value. In addition to which practices of devaluation can also cause changes in value. Devaluation is the monetary policy whereby the government or the central bank intentionally decreases the exchange rate of its currency with another currency. The reasons behind why this is done are mostly to do with the management of lagging trade and struggling economic development, and the currency devaluation is a tool used to manage the problem. However any move to do so is usually seen as a panic indicator and

causes more problems than its fixes.



The balance between import and exports greatly influences the value of any fiat currency.

How is currency power?

The world is a much smaller place than it was a hundred years ago, especially in economic terms. Never before was it possible for an Indian tea

farmer in West Bengal to purchase a cell phone designed by engineers in America and assembled by workers in China, that was marketed to him via professionals in India based on an international advertising campaign created in London. And customer service in his own district of Jalpaiguri.

The reason the international system of trade is able to sustain itself is due to the commonly held belief that all currency has value - some more than others but value nonetheless. And by trading currency for goods and services in multilateral ways across various nations can an efficient system of resource management be created which results in better products and services at the most competitive prices. However, all this is easier said than done.